MODULE 11 – LAWS & REGULATIONS RELATED TO ANTI-MONEY LAUNDERING

Main Questions

Question 1 (C2) (5M) (June 2023 PQ) (3M) (June 2024 PQ) (7M) (MQP Dec 2024 Set 2)

Briefly enumerate the process of Money Laundering as per the Prevention of Money Laundering Act,2002.

Answer

Money Laundering is the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate money'. The Process of Money Laundering is as follows:

Step 1 - Placement:

The money launderer introduces illegal funds into the financial system by breaking up large amounts of cash into smaller, less noticeable sums. These are then deposited into a bank account or used to purchase financial instruments like cheques and bank drafts, which are subsequently deposited into one or more accounts at different locations.

Step 2 - Layering:

In this stage, the money launderer moves the funds through a series of continuous conversions or transfers across multiple accounts. This is done to hide the funds origin and distance them from their criminal source. The launderer may use various accounts, often in different countries, especially in jurisdictions that do not cooperate with anti-money laundering investigations.

Step 3 - Integration:

In the final stage, the laundered funds enter the legitimate economy, mixed with legally earned money. The launderer invests these funds into real estate, business ventures, and luxury assets allowing them to enjoy the money without fear of detection.

Question 2 (C3) (7M) (Dec 2024 PQ)

State the offences of Money Laundering listed in different schedules under the PMLA Act, 2002.

Answer

Whosoever directly or indirectly attempts to indulge or is actually involved in any process connected with the proceeds of crime including its concealment, possession, acquisition or use or claiming as untainted property shall be guilty of offence of money-laundering.

Types of Offences: The offences listed in the Schedule the Act, are scheduled offences and are divided into three parts - Part A, B and C.

a) Part 'A' offences to the Schedule have been listed in 29 paragraphs and it comprises of offences under Indian Penal Code, offences under Narcotic Drugs and Psychotropic Substances Act, 1985, offences under Explosive Substances Act, 1908, offences under Unlawful Activities (Prevention) Act, 1967, etc.

b) Part 'B' of the Schedule are offences with total value involved is ₹ 1 crore or more.
c) Part 'C' deals with trans-border crimes and is a vital step in tackling Money Laundering across International boundaries.

The Scheduled Offence is called Predicate Offence and the occurrence of the same is a pre requisite for initiating investigation into the offence of money laundering.

Question 3 (C5) (SM) (5M) (June 2019 Old PQ)

Explain the responsibilities of banking companies under the Prevention of Money Laundering Act, 2002.

(or)

What are the obligations of the reporting entity?

Answer

'Reporting Entity' means a banking company, financial institution, intermediary or a person carrying on a designated business or profession.

Obligations of Reporting entity are as follows -

a) Every reporting entity shall maintain a record of all transactions covered as per the nature and value of which may be prescribed, in such manner as to enable the reconstruct individual transactions.
b) They shall furnish to the Director (FIU) within such time as may be prescribed information relating to such transactions.
c) They shall verify the identity of its clients and shall identify the beneficial owner, if any, of such of its clients.
d) They shall maintain record of documents evidencing identity of its clients and beneficial owners as well as account files for a period of 5 years in case of record and information relating to transactions.
e) They shall maintain the same for a period of 5 years after the business relationship between a client and the reporting entity has ended or the account has been closed, whichever is later.

Question 4 (C6) (7M) (MQP June 2023)

Discuss the procedure of Investigation under the Prevention of Money Laundering Act.

Answer

Enforcement Directorate: The Directorate of Enforcement is responsible for enforcement of the Foreign Exchange Management Act, 1999 (FEMA) and certain provisions under the Prevention of Money Laundering Act. The PMLA empowers ED officers to investigate & prosecute money laundering cases and attach related properties.

Adjudicating Authority: Where the Adjudicating Authority decides that any property is involved in money-laundering, Adjudicating Authority shall, by an order in writing confirm the attachment of the property made or retention of property or record seized.

The Act provides for reciprocal arrangements and bilateral agreements between countries for the purpose of either enforcing the provisions of this Act or for the exchange of information.

Appellate Tribunal: Under Section 25, the Central Government has established an Appellate

Tribunal. The Tribunal consists of a chairperson and 2 other members. Appellate Tribunal has been constituted to hear appeals against the orders of the Adjudicating Authority.

Special Court: For trials under Section 4 of PMLA, 2002, the Central Government designates Special Courts, in consultation with the Chief Justices of High Courts, for specific areas or cases. These Special Courts can also handle related offenses as per the Code of Criminal Procedure, 1973. Any money laundering offense and connected scheduled offenses are tried by the Special Court in the area where the crime was committed.

Question 5 (C7) (SM) (3M) (June 2023 Old PQ) (4M) (June 2017 Old PQ)

Discuss about Suspicious Transaction Reports (STR).

(or)

Every Banking Company to furnish details of suspicious transaction as per the provision of the Prevention of Money Laundering Act, 2002 and the rules made thereunder. State in this context what is meant by Suspicious Transaction.

Answer

Every banking company require to furnish details of suspicious transactions under PMLA Act, 2002 and rules. It means a transaction whether or not made in cash which, to a person acting in good faith:

a) Gives rise to a reasonable suspicion that it may involve the proceeds of crime, or
b) Appears to be made in circumstances of unusual or unjustified complexity, or
c) Appears to have no economic rationale or bona fide purpose.

Additional Questions

Question 1 (C2) (2M) (Dec 2018 Old PQ)

"Money Laundering does not mean just siphoning of fund." Comment.

Answer

Money laundering is a moving of illegally acquired cash through financial systems so that it appears to be legally acquired whereas siphoning of funds simply means misusing or diverting money from its intended purpose. Thus, Money laundering is not just the siphoning of fund but it is the conversion of money which is illegally obtained.

Question 2 (C2 & C3) (SM) (7M) (MQP Dec 2023)

"Money Laundering is the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate' money"- examine the validity of statement by the rules and regulations of the act "The Prevention of Money Laundering Act, 2002"

Answer

Money Laundering is the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate money'.

The Prevention of Money Laundering Act, 2002 consists of 10 chapters containing 75 sections and

one Schedule divided into 5 parts.

The objects sought to be achieved under the Act are:

a) To prevent and control money laundering.
b) To confiscate and seize the property obtained from the laundered money. And
c) To deal with any other issue connected with money laundering in India.

Authorities under The Prevention of Money Laundering Act, 2002

a) The Directorate of Enforcement in the Department of Revenue, Ministry of Finance is responsible for investigating the cases of offence of money laundering.
b) Financial Intelligence Unit - India (FIU-IND) under the Department of Revenue, Ministry of Finance is the central national agency responsible for receiving, processing, analysing and disseminating information relating to suspect financial transactions.
c) Central Government shall appoint adjudicating authority to exercise jurisdiction and powers conferred under the Act.

The process of Money Laundering:

Step 1 - Placement:

The money launderer introduces illegal funds into the financial system by breaking up large amounts of cash into smaller, less noticeable sums. These are then deposited into a bank account or used to purchase financial instruments like cheques and bank drafts, which are subsequently deposited into one or more accounts at different locations.

Step 2 - Layering:

In this stage, the money launderer moves the funds through a series of continuous conversions or transfers across multiple accounts. This is done to hide the funds origin and distance them from their criminal source. The launderer may use various accounts, often in different countries, especially in jurisdictions that do not cooperate with anti-money laundering investigations.

Step 3 - Integration:

In the final stage, the laundered funds enter the legitimate economy, mixed with legally earned money. The launderer invests these funds into real estate, business ventures, and luxury assets allowing them to enjoy the money without fear of detection.

Offence of Money Laundering - Whosoever directly or indirectly attempts to indulge or is actually involved in any process connected with the proceeds of crime including its concealment, possession, acquisition or use or claiming as untainted property shall be guilty of offence of money-laundering.

Types of Offences: The offences listed in the Schedule the Act, are scheduled offences and are divided into three parts - Part A, B and C.

a) Part 'A' offences to the Schedule have been listed in 28 paragraphs and it comprises of offences under Indian Penal Code, offences under Narcotic Drugs and Psychotropic Substances, offences under Explosive Substances Act, 1908, offences under Unlawful Activities (Prevention) Act, 1967, etc.
b) Part 'B' of the Schedule are offences with total value involved is ₹ 1 crore or more.
c) Part 'C' deals with trans-border crimes and is a vital step in tackling Money Laundering across International boundaries.

Punishment for the Offences

a) Whoever commits the offence of money-laundering shall be punishable with rigorous imprisonment for a term which shall not be less than 3 years but which may extend to 7 years and shall also be liable to fine.
b) But where the proceeds of crime involved in money-laundering relate to any offence specified under paragraph 2 of Part A of the Schedule, the maximum punishment may extend to 10 years instead of 7 years.
c) Property made out of proceeds of crime, directly or indirectly attached and/or confiscated by the authority.

Question 3 (C3) (3M) (June 2018 Old PQ)

Sohan Lal, a farmer, was found involved in embezzlement of opium cultivated by him. State the punishment that can be awarded to him under the Prevention of Money Laundering Act, 2002.

Answer

Section 4 of the Prevention of Money Laundering Act, 2002 provides for the punishment for Money-Laundering. Whosoever directly or indirectly attempts to indulge or is actually involved in any process connected with the proceeds of crime including its concealment, possession, acquisition or use or claiming as untainted property shall be guilty of offence of money-laundering.

Part 'A' offences to the Schedule have been listed in 28 paragraphs and it comprises of offences under Indian Penal Code, offences under Narcotic Drugs and Psychotropic Substances, offences under Explosive Substances Act, 1908, offences under Unlawful Activities (Prevention) Act, 1967, etc.

Punishment for the Offences

a) Whoever commits the offence of money-laundering shall be punishable with rigorous imprisonment for a term which shall not be less than 3 years but which may extend to 7 years and shall also be liable to fine.
b) But where the proceeds of crime involved in money-laundering relate to any offence specified under paragraph 2 of Part A of the Schedule, the maximum punishment may extend to 10 years instead of 7 years.

In the present case, Sohan Lal, a farmer, who was involved in embezzlement of opium cultivated by him shall be liable for the rigorous imprisonment for a term which may extend to 10 years and shall also be liable to fine.

Question 4 (C6) (1M) (June 2019 Old PQ)

Who is empowered to designate court of session as special courts for trial of offence of money laundering?

Answer

Central Government in consultation with the Chief Justice of High Court is empowered to designate court of session as special courts for trial of offence of money laundering.